

liens, if there is any possibility that these assets may have a fair value in excess of their claim.⁶ Apparently it is considered unfair to wipe out stockholders or junior bondholders who have a potential interest in the property but are not in a position to protect it. As a result of this practice, bondholders rarely, if ever, come into actual possession of the pledged property unless its value at the time is substantially less than their claim. In most cases they are required to take new securities in a reorganized company. Sometimes the default in interest is cured and the issue reinstated.⁷ On exceedingly rare occasions a defaulted issue may be paid off in full, but only after a long and vexing delay.⁸

Delays Are Wearisome. This delay constitutes the third objection to relying upon the mortgaged property as protection for a bond investment. The more valuable the pledged assets in relation to the amount of the lien, the more difficult it is to take them over under foreclosure, and the longer the time required to work out an “equitable” division of interest among the various bond and stock issues. Let us consider the most favorable kind of situation for a bondholder in the event of receivership. He would hold a comparatively small first mortgage followed by a substantial junior lien, the requirements of which have made the company insolvent. It may well be that the strength of the first-mortgage bondholder’s position is such that at no time is there any real chance of eventual loss to him. Yet the financial difficulties of the company usually have a depressing effect on the market price of all its securities, even those presumably unimpaired in real value. As the receivership drags on, the market decline becomes accentuated, since investors are constitutionally averse to buying into a troubled situation. Eventually the first-mortgage bonds may come through the reorganization undisturbed, but during a wearisome and protracted period the owners have faced a severe impairment in the quoted value of their holdings and at least some degree of doubt and worry as to the outcome. Typical examples of such an experience can be found in the case of Missouri, Kansas and Texas Railway Company First 4s and Brooklyn

⁶ The failure to foreclose on Interborough Rapid Transit Secured 7s for seven years after default of principal (Appendix Note 2) well illustrates this point.

⁷ See Appendix Note 8 for supporting data.

⁸ See Appendix Note 9 for supporting data.